

Vinyas Innovative Technologies Ltd.

(Formerly known as Vinyas Innovative Technologies Pvt. Ltd.)

CIN: L26104KA2001PLC028959

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The National Stock Exchange of India Ltd
Exchange Plaza, 5th floor, Plot No. C/1
G- Block, Bandra-Kurla Complex, Bandra (E)
Mumbai-400 051.

Scrip Code: VINYAS

Sub: Transcripts of Earnings Call.

Please find enclosed transcripts of earnings conference call, in connection with financial results of the Company for the half year and year ended March 31, 2025 held on Wednesday, June 4, 2025.

The said information will be made available on the Company's website at www.vinyasit.com

This is for your information and records.

For Vinyas Innovative Technologies Limited

Subodh M R
Company Secretary & Compliance Officer

Customer Satisfaction is our Designature



“Vinyas Innovative Technologies Limited H2 & FY25 Earnings Conference Call”

June 04, 2025



MANAGEMENT: **MR. NARENDRA NARAYANAN – MANAGING DIRECTOR,
VINYAS INNOVATIVE TECHNOLOGIES LIMITED
MR. SUMUKH NARENDRA – WHOLE TIME DIRECTOR,
VINYAS INNOVATIVE TECHNOLOGIES LIMITED
MR. BALAJI BHAT – EXECUTIVE COMMITTEE
MEMBER, VINYAS INNOVATIVE TECHNOLOGIES
LIMITED
MR. AMITAVA MAJUMDAR – CHIEF FINANCIAL
OFFICER, VINYAS INNOVATIVE TECHNOLOGIES
LIMITED
MR. SUBODH MR – COMPANY SECRETARY &
COMPLIANCE OFFICER, VINYAS INNOVATIVE
TECHNOLOGIES LIMITED**

MODERATOR: **MR. KAUSHAL SHINDE – ORIM CONNECT**



Moderator: Ladies and gentlemen, good day and welcome to the H2 and FY '25 Earnings Conference Call of Vinyas Innovative Technologies Limited hosted by ORIM Connect.

As a reminder, all participants' line will be in listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kaushal Shinde from Orim Connect. Thank you, and over to you, sir.

Kaushal Shinde: Thank you. Good afternoon, everyone. And a warm welcome to all of you. I am Kaushal Shinde from ORIM Connect, representing the Investor Relations team of Vinyas Innovative Technologies Limited. On behalf of the company, I would like to thank you all for joining us for the Earning Con Call of H2 and FY '25.

Before we begin, I would like to state a brief cautionary statement. Some of the statements made during today's call may be forward-looking in nature. These forward-looking statements are subject to certain risks and uncertainties that will cause actual results to differ materially from those expressed or implied. These statements are based on management's current expectations, assumptions, and information available as of now. Listeners are therefore advised not to place undue reliance on these forward-looking statements when making any investment decisions. The purpose of this call is to share insights into the company business, performance, and financial results under review.

Now I am pleased to introduce the members of the Management Team present with us today. Mr. Narendra Narayanan – Managing Director, Mr. Sumukh Narendra – Whole Time Director, Mr. Balaji Bhat – Executive Committee Member, Mr. Amitava Majumdar – CFO, Mr. Subodh – Company Secretary & Compliance Officer.

With that, I now hand over to Mr. Narendra Narayanan for his opening remarks. Thank you, and over to you, sir.

Narendra Narayanan: Good afternoon, everyone. Ladies and gentlemen, a warm welcome to each one of you as we gather here for a Conference Call of Vinyas Innovative Technologies Limited, where we aim to delve into our exceptional performance during the second half of the Year 2025 and Final Results of 2025.

Before we delve into the specifics of our financial results, allow me to provide an insight into our company's journey and achievements.



Vinyas Innovative Technologies Limited
June 04, 2025

I, Narendra Narayanan – Managing Director of Vinyas Innovative Technologies Limited. Founded in the year 2001, Vinyas has evolved into a leading electronic manufacturing service provider with over two decades of operational excellence and three decades of domain expertise.

We serve as a trusted partner to global OEMs and ODMs across critical sectors, including aerospace, defense, medical, and industrial applications. Our company operates on two integrated service models build-to-print and build-to-spec, enabling us to offer comprehensive solutions from concept to production. Thus, dual approach has strengthened our position as a strategic manufacturing partner worldwide.

What sets apart is our focus on the high reliability electronics for mission-critical and safety-critical applications. We manufacture precision components for cockpit systems, in-flight electronics, medical electronics, and defense platforms that demand the high standards of quality, precision, and traceability. Our state-of-the-art infrastructure of 1,50,000 square feet of manufacturing facility in Mysore is equipped with advanced SMT lines capable of producing 500 million components annually.

We maintain prestigious certifications including ISO 9001, AS9100, IATF 16949, ISO 13485 certifications, reflecting our commitment to quality and excellence. Over the years, we have built a strong relationship with leading clients, including BEL, HAL, and other platforms, other PSUs, while simultaneously expanding our footprint with global OEMs. Our strategic positioning in the defense electronic manufacturing has been further validated through our participation in critical programs, positioning us to capitalize on India's emerging as a global defense electronic hub.

Now I would like to hand over to our Whole-Time Director, Sumukh Narendra, who will take you through our overall performance for FY '25 and share our exciting growth outlook. Sumukh, over to you.

Sumukh Narendra:

Thank you, sir. Good afternoon, everyone. I am Sumukh Narendra, Director at Vinyas Innovative Technologies. I am pleased to speak with you today and share an overview of our performance for H2 and full Financial Year FY '25, along with an outlook going forward.

FY '25 has been a year of strong operational and strategic progress for us. We ended the year with revenue at Rs. 396.6 crores. Delivering a solid 25% year-on-year growth, EBITDA came in at around Rs. 44.4 crores, up 22%, and net profit increased by 27% to Rs. 19.4 crores. The 2nd Half of the year was particularly encouraging, with Rs. 247.1 crores in revenue, making a 37% growth over the same period last year.

I would like to highlight that during the year, we booked Rs. 737 crores in new orders from both domestic and global customers. We also successfully cleared critical compliance requirements to work with international defense programs and defense clients. We made an entry into the

commercial aerospace manufacturing segment. We have had our first assessment with a leading Tier 1 OEM.

We have qualified our new cable harness facility within the same premises and also entered into a manufacturing agreement with a medical OEM to start manufacturing for Made in India medical devices.

These wins reinforce the trust of our customers in Vinyas for high reliability manufacturing. Looking ahead, we have a strong foundation and a clear revenue visibility. We are well positioned to deliver consistent and sustainable growth over the next several years. We remain focused on execution, deepening customer relationships, and expanding our global footprint to create long-term value for all the stakeholders.

With that, I would now like to hand over to Mr. Amitava Majumdar, our CFO, to take you through the financials in more detail. Amit.

Amitava Majumdar:

Thank you, Sumukh. Good afternoon, everybody. I am Amitava Majumdar, Chief Financial Officer. And I am pleased to present the details of financial highlights for H2 and FY '25.

FY '25 full-year performance, if we can look into that, our total revenue reached to Rs. 396.6 crores, representing a robust 25% year-on-year growth from Rs. 317 crores in FY '24, EBITDA stood at Rs. 44.4 crores, showing about 22% growth while maintaining the EBITDA margin at around 11%. PAT grew by an impressive 27% from Rs. 19.4 crores to Rs. 15.3 crores. Earnings per share for FY '25 was 15.43.

If we look into the 2nd Half of FY '25, which is H2 FY '25 performances, the 2nd Half performance was particularly strong with a revenue of Rs. 247 crores, representing an exceptional 37% year-on-year growth. EBITDA for H2 FY '25 was Rs. 26.7 crores, a 32% growth with an EBITDA margin of about 11%. PAT grew by 28% to Rs. 12.4 crores. And EPS was 9.86.

Now if you look into the balance sheet strength, our net worth increased to Rs. 147 crores from Rs. 128 crores, reflecting our strong capital base. We maintained a healthy debt-to-equity ratio of 0.7x. Our total assets grew to Rs. 330 crores, with the current assets comprising of Rs. 286 crores.

Sector-wise revenue distribution, if you look at, the Defense and Aerospace continues to be our dominant segment, contributing 78% of the revenue. Industrial segment showed remarkable growth, contributing to about 18.4%. Medical devices contributed to Rs. 6.7 crore and other segments accounted for Rs. 7.5 crore.

In the cash flow and working capital angle, we generated a positive operating cash flow of Rs. 8.8 crore in FY '25. Our disciplined working capital management and strong order book provide us with financial flexibility to execute our growth plans. These strong financial metrics, combined with our substantial order book of about Rs. 1,018 crores, as on 30th of May, 2025, position us well for sustained profitable growth in the coming years.

Over to you, Sumukh.

Sumukh Narendra: Thank you, Amit. Kaushal, we open up the call to any questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aman Soni from Nvest Analytical Advisory LLP. Please go ahead.

Aman Soni: Sir, my first question is on order book size. As our order book is around Rs. 1,018 crores, what is the execution timeline for the entire order book?

Sumukh Narendra: Good afternoon, Aman. So, the order book execution is over the next 12 to 18 months. It's a mix between some of it executing in 12 months, some of it executing over the next 18 months. So, the longest period is about 18 months.

Aman Soni: Understood, sir. And how is the order inflow expected to be shaped in this year? And how is the demand outlook for the current year? Means how much order inflow expected in this year?

Sumukh Narendra: Aman, we have programs in the pipeline. The order inflow, we are expecting it to be at the same levels that we had in FY '25, between Rs. 600 to 750 crores over the financial year. And that is the outlook that we have for this financial year as well.

Aman Soni: And sir, what is the revenue and EBITDA margin target for FY '26?

Sumukh Narendra: We are expecting a 25% growth this financial year as well. And the EBITDA margin will be between 9% to 11%.

Aman Soni: And since we are expecting the system integration apart a PCB assembled, I want to understand what products are we targeting and what kind of margin expansion are we targeting by entering into these segments?

Sumukh Narendra: So, what kind of products we are manufacturing subsystems to different defense programs? So, there are multiple subsystems where we will be doing the system level and subsystem level integration here at Vinyas. The margin profile, we expect it to grow between 2 to 3 basis points on the gross margin side, but it also gives us the leverage of being a full product, a full subsystem integrator for our different customers.

Moderator: The next question is from the line of Piyush Arora from Arora Family Holdings. Please go ahead.

Piyush Arora: Hi sir, congratulations for doing the con call. Hopefully, we get to see more of con calls going forward as well. Sir, my first question is a bit qualitative in nature, is what makes our business unique because there are so many companies now in EMS space and so many companies which are also into defense contract manufacturing. So, just in some sort of to get a qualitative answer out of you, so what makes the company unique, sir?

Sumukh Narendra: So, Piyush, we are what we call as a high-mix, high-complexity assembly house. So, we make critical subsystems for our customers. And we focus on fairly complex both PCB assemblies as well as system assemblies for our customers. And we focus on low and medium volume manufacturing. So, that is what we are focused on, and that is the differentiating factor for Vinyas. We are not like a different EMS where we cater to the low mix, high volume manufacturing. We are, what we call in the EMS segment, a high mix, low volume or a high mix, medium volume manufacturer.

Piyush Arora: And qualitatively, sir, how are we able to hire engineers or train engineers or what type of processes that we have in place which we make sure that the company scales well? What type of bench strength do we have?

Sumukh Narendra: So, what we have taken it up is to ensure that we are up-to-date with all the necessary certifications and the qualifications as well as the licenses that are required to continue manufacturing.

So, AS 9100 is a stepping stone to enter into the different segment. But there are different licenses which allow you to participate, qualifications that allow you to participate in different segments. Some of it for critical manufacturing, some of it for ground base manufacturing.

So, Vinyas is striving to ensure that we keep in line with all the qualification requirements as well as quality plays a very crucial part in the manufacturing of critical subsystems. We track our quality yields to ensure that we keep up to the mark.

In terms of manpower, we have been successful where our attrition rates have been low and we have had a very strong internal training program here at Vinyas, where we have been able to consistently give internal training to our operators so that we can upskill them as well as improve the process within Vinyas.

Engineering strength, we are predominantly a manufacturing house. The engineering strength predominantly comes from production engineering. And we don't have an engineering, we don't look at the engineering side from a development side. We are predominantly a production engineering strength. I hope I answered your question.

Piyush Arora: Yes, it was quite comprehensive. So, just another question, this is reference to the Slide 8 in the presentation that we have, that is on growth momentum factors. So, if I club the entire

opportunity sizes, is my understanding correct in terms of next four to five years or whatever opportunity that we have in different verticals, we are looking at an opportunity pipeline of close to Rs. 9,000 crores to Rs. 10,000 crores over the next four to five years?

Sumukh Narendra: Yes, that's right. So, these are based on the programs that we are a part of and the programs that we are working towards. So, that is the opportunity size that we are working towards, Piyush.

Piyush Arora: And so this last bit of question from my side on the margins bit. So, I think FY '22- '23, we had two years where our margins, I think '21 and '22, where our margins were 6% type on EBITDA level. But now we see that margins have hit between 9% to 11%. So, anything that we should be careful of in terms of assessing the margin profile of the company that it could lead to a temporary basically dip in the margin if some raw material cost increases, or you will be very confident that margins will remain between 9% to 11%? And because of the type of opportunities that you are seeing, do you think there is operating leverage built into your business and this margin profile could also move up over next 2-3 years?

Sumukh Narendra: I would say that we are very confident that we would remain in the margin profile between 9% to 11%. There is also operational efficiencies as well as programs maturing which has allowed us to reach this margin profile. The next two, three years, I don't see the margin profile changing. It would take us some more time to see a better margin profile coming into the business.

Piyush Arora: Wishing you all the best for the future and hope we see more con calls also going forward.

Moderator: The next question is from the line of Yash Bajaj from Lucky Investments Manager. Please go ahead.

Yash Bajaj: Good evening, and congratulations for such a performance. Some of my first question is regarding the export business which we have, which is part of the order book this year. I mean, can you help us understand this part of the business which we have won this year and what is it related to? And is there any kind of shift in terms of, was it a China plus One kind of opportunity?

Sumukh Narendra: Yes, good afternoon. So, the export order business that has come in, one, in terms of the medical device segment has purely been a China plus One to cater to the Make in India requirements that we have. So, predominantly it was a localization requirement for our customer to localize their manufacturing in India.

With respect to the defense business, with the necessary certifications that we have on hand, we have had a larger exposure to export orders that have been coming in for Vinyas. We have had close to 22%-23% of our orders coming in from export. And that has predominantly been driven based on the licenses and the approvals that we have received.

- Yash Bajaj:** And regarding the Fresenius Kabi order, which we want related to medical device, that, sir, I mean, it is for their domestic part of the business, right? It's not outside India, right?
- Sumukh Narendra:** No, as of now, it is for domestic manufacturing in India.
- Yash Bajaj:** And how do you see this part of the business? How large is the opportunity in this segment? And how is the conversation going regarding that?
- Sumukh Narendra:** We have completed all our certifications and approvals that are required. And we are into the first phase of manufacturing. We expect it to ramp up over this financial year, having the first few thousand units going out to Fresenius Kabi over this year.
- Yash Bajaj:** And my second question is regarding the current capacity. What is the current capacity today? And what kind of revenues can it generate?
- Sumukh Narendra:** Capacity, since I touched upon, we are a high mix, low volume manufacturing house, we do a lot of varying mixture of products. To put a value to it, we are at around 35% capacity today. And we can scale up to between Rs. 1,200 crores to Rs. 1,400 crores of revenue with the current capacity that we have. So, we have all the necessary CAPEX which was done about a year back to sustain the growth that we are looking at over the next two years.
- Yash Bajaj:** And regarding, just on the balance sheet side of the piece is that there was a sharp jump in the receivables and inventory as of yearend. So, any reason related to that?
- Sumukh Narendra:** There has been, the supply chain was on and off over the whole financial year, because of the Middle Eastern conflict, we have an exposure to the Israeli supply chain. So, because of which, over the last quarter, we had a larger portion of the manufacturing happening. And that is why we see a larger receivable on the balance sheet. It has smoothened out over the first quarter of this year. So, we expect it to improve this year.
- Amitava Majumdar:** In terms of inventory management, it has been improved actually substantially compared to last year.
- Yash Bajaj:** And my next question is on the margin side, or H2 margins, H2 '25 were on a slightly lower side versus the previous year's similar half? So, is it related to any mixed change? If you can just help us understand that.
- Sumukh Narendra:** Yes, it is related to a mixed change. We had a larger volume of slightly lower margin boards that were going out, which was contributing to the revenue. So, that is predominant reason for the lower margins in the second half.
- Yash Bajaj:** But the margin range should be around this band only or are there any levers for improvement considering we are getting into export and medical?

- Sumukh Narendra:** We expect it to remain the same, at least for the next 2 to 3 years.
- Yash Bajaj:** Fine, can I take more questions or I will just get back to the queue?
- Moderator:** Sir, you can go ahead.
- Yash Bajaj:** So, on the commercial aerospace side of the business which we have recently entered into, if you can just help us understand what is it related to? Is it domestic, export, and if you can help us understand what are the components we are providing to them?
- Sumukh Narendra:** So, we were in the process of getting the necessary certifications. We have completed the process. So, one of the foreign OEMs has cleared the plant, done the audit of the plant and placed the first purchase order for the validation of the manufacturing process here at Vinyas. So, this is our first step and the first exposure to the whole segment. We are working with other OEMs for qualification of the plant and we will be in a better position to give more updates maybe during the first half of this financial year.
- Yash Bajaj:** That's all from my side. Thank you, team, and all the best.
- Moderator:** The next question is from the line of Nikhil Singhania from Singhania Family Office. Please go ahead.
- Nikhil Singhania:** Sir, when can we see the full optimum utilization of the capacity?
- Sumukh Narendra:** The full optimal utilization of the facility would be in the Financial Year '27. On the defense and aerospace side, qualification and approval of the facility usually takes a year and a half to two years. We expect the full optimal utilization of the facility next year.
- Moderator:** The next question is from the line of Vikram Sharma from Niveshaay. Please go ahead.
- Vikram Sharma:** Hi, first, congratulations on good set of numbers. So, sir, are we receiving any enquiries regarding the faster execution of current program where we are working on from 5 to 7 years, period to 3-4 years kind of thing post this war scenario?
- Sumukh Narendra:** Hi Vikram. So, there is something called as an emergency procurement process that the Indian Ministry of Defense has. We have received some enquiries. We are working on the enquiries. So, it is very fresh. If we see something converting, we will surely make the necessary announcements to the stock exchange.
- Vikram Sharma:** But even on the current program where we are working, where the timeline was supposed to be 6-7 years, where are we experiencing any faster execution of anything?

- Sumukh Narendra:** There is a push both from our customers as well as from the government to fast track the programs. It is very early for me to comment on where we are with respect to the whole process.
- Vikram Sharma:** And what is our, like, approx current mid pipeline which we generally you said we...
- Sumukh Narendra:** We currently have an order book of about Rs. 1,018 crores. We expect the order inflow to be at the same levels as last financial year. So, with a 25% growth this year, we expect the confirmed order book to grow to about Rs. 1,500 crores to Rs. 1,600 crores by the end of this financial year.
- Vikram Sharma:** And the last question, when we say like we are in a segment like where is there a complex product and a low volume segment, but when we compare our margin with other players, the margins are the same, like even other EMS players are making 10%-11% margin. So, what could be the reason for this?
- Sumukh Narendra:** The mix. So, all of which end of the day is a build-to-print manufacturing that we do. The differentiating factor is we do high mix, low volumes. So, here, the complexity is higher, and we do lower volumes of the manufacturing. But at the end of the day, it is a build-to-print operation that we are doing. So, that is the reason for our margin profile. We expect the margin profile to be between 10% to 11%. Also, in our case, the raw material costs are significantly higher. So, the value add portion end of the day comes to between 10% to 11% in terms of EBITDA.
- Moderator:** The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.
- Chetan Phalke:** Good afternoon, sir. And thank you for the opportunity. Sir, you just mentioned about some supply chain disruptions from Israel side. So, how much of our business is Israel business versus non-Israel business, if you can just help us understand?
- Sumukh Narendra:** We supply some of the programs to public sector undertakings like Bharat Electronics and HAL, which are technology transfers that have happened from Israeli OEMs to our public sector undertakings. In terms of supply chain side, we have an exposure of about 27% to 30% of our programs have some dependency on the supply chain coming from Israel. Some of the critical components as well as some of the made to order parts come from the supply chain from Israel.
- Chetan Phalke:** And sir, in last year's annual report, I was just looking at some numbers. So, almost Rs. 200 crores of raw materials were being imported. This year, obviously, the number will be much higher. So, how much of our, I mean, are we building any in-house capabilities as well, let's say, a backward integration into PCB boards or anything like that to reduce our import dependency and do more and more value addition from in-house capabilities? If you can just help us understand overall picture on that side.

- Sumukh Narendra:** Very honestly, our supply chain is predominantly very low volume. So, we are not looking at the parts that we can actually look at our PCBs and mechanicals, but they don't contribute a significant portion. So, as of now, we are not looking at any backward integration as such. So, regarding the electronic components, the electronic components are predominantly imported. And since we deal with it at such low volumes, I don't see any value add in actually looking at a backward integration on this aspect.
- Chetan Phalke:** So, sir, in terms of, let's say, the volatility in the component prices, how does the pass-through arrangement or the adjustment with our customer's work? I mean, is there any bill of material difference arrangement with them?
- Sumukh Narendra:** So, customers, we have two protections. One is a foreign exchange rate variation as well as BOM price parity variance. So, we do get both the protections for the majority of these programs. So, those protections are in place to protect us from any volatility that could be there.
- Chetan Phalke:** And usually if there is any differential between the quoted price and the actual price of the material, how long will it take for you to get the bill of material difference usually?
- Sumukh Narendra:** It happens every two times a year. So, the cycle happens every two times a year to get that cleared and get it aligned to the new prices that are in place.
- Chetan Phalke:** So, this norm is there for Indian companies, Israeli companies or whoever they are dealing with. It's for everyone or it doesn't change.
- Sumukh Narendra:** Yes. Usually there is an approval that is taken before we proceed with the procurement and there is a reconciliation that happens every six months.
- Chetan Phalke:** And sir, usually are there any rejections in our business? I mean, if there is something called a rejection rate or how does that part of the business work? Just trying to understand.
- Sumukh Narendra:** Rejection, the qualification process in the manufacturing facility is thorough enough so that there isn't a rejection that happens at the customer location, usually. So, most, whether it's a PCB assembly or whether it is a subsystem that we are supplying, both of them are completely tested, qualified before they are shipped.
- So, rejection rates, internally in the process as well, we have stringent quality requirements where our final yields are above 99% because of the high mix and the high complexity that we manufacture. So, that is not really a large portion of, that is not a significant portion or rejection is not a significant portion of the process, usually.
- Chetan Phalke:** And if at all there is any, then we have to absorb it.

- Sumukh Narendra:** Yes, it doesn't mean that there will be, there is no rework possible. There will usually be a rework and the product is moved through the complete qualification process and delivered to the customer.
- Moderator:** Sorry to interrupt, sir. I would request you to rejoin the queue for your follow-up question. The next follow-up question is from the line of Nikhil Singhanian from Singhanian Family Office. Please go ahead.
- Nikhil Singhanian:** Thanks for the follow-up question, sir. Sir, as you guided, we can achieve optimum capacity utilization by FY '27. Is it fair to assume we can achieve Rs. 1,000 plus crore revenue by FY '27?
- Sumukh Narendra:** In terms of capacity, yes, but we are looking at a 25% to 30% growth year-on-year. So, in terms of capacity, what you are saying is right, but I wouldn't commit to revenue target of Rs. 1,000 crores for FY '27.
- Nikhil Singhanian:** And sir, margin, going forward, margin should be same in next two to three years?
- Sumukh Narendra:** The margin profile, we are expecting it to remain the same for the next two to three years.
- Moderator:** The next question is from the line of Priyanka Sarkar from Square 64 Capital Advisory LLP. Please go ahead.
- Priyanka Sarkar:** Hi, sir. Congratulations to the entire team on a very good set of numbers. I just have one question. In terms of the working capital, sir, let us say this year, even last year, the working capital was close to 50% as a percentage of sales. So, is there a target we have that we want to bring it down to over the next two to three years for the working capital?
- Sumukh Narendra:** Hi Priyanka. So, the target is to reach about 30%. So, we are working towards that. This year was more on the, we had a bit of supply chain disruptions and with that we see a large receivable, but we are working towards a working capital range of about 30% of the revenue.
- Moderator:** The next question is from the line of Ravi Mehta from One-Up. Please go ahead.
- Ravi Mehta:** Hi. Just wanted to check on the Slide 8, the Rs. 10,000 crore opportunity that you have. Since you are participating in all of them, I believe, wanted to understand, are there any risks to the size of the opportunity changing or the timelines getting elongated or some more peers coming in and sharing the pie? So, how do you see the addressable or the winnable? Any risks that you would like to highlight?
- Sumukh Narendra:** The risk is I would say the risk associated with any kind of a defense program, all these defense programs, there are push-outs. So, the major risk that we foresee is delays in the programs getting sanctioned and delays in the program getting to critical stage where we get into a series

manufacturing stage. So, that is the major risk that we expect and we foresee for the pipeline that we have on hand.

Ravi Mehta: So, when you say, five year kind of a term that you have highlighted, does that factor these kind of risks that you already built in or this can be over and above?

Sumukh Narendra: This will be over and above because some of it is beyond our control. We have had programs delayed by two, three years. So, this would be over and above what we have put up.

Ravi Mehta: And when you get to these opportunities and win, you know, get major wins, what kind of capacity expansion or investments you need to do? Because I think you addressed that your peak revenue from the current setup could be Rs. 1,300 crores to Rs. 1,400 crores. But when you go about cracking such a big pipeline, what kind of incremental investments you need to do?

Sumukh Narendra: Predominantly on our EMS business, the incremental CAPEX would usually be adding more SMT lines. We factor it at around Rs. 600 crores coming in from one SMT line. Rs. 600 crores of revenue on the defense and aerospace side. That is our rule of thumb that we use internally for calculating the CAPEX requirements.

And in general, as we grow up the value chain or as we grow up with programs, we will also have to invest on certain equipment to improve the quality process as well. So, this would be more in line with the CAPEX that we put in at around Rs. 30 crores last year for expanding from one line to a second line. And we expect it to be at the similar level for one single line being invested.

Ravi Mehta: And for other critical equipment or something, will it be another 30 or more?

Sumukh Narendra: That would be more, no, it would be a smaller CAPEX. We expect Rs. 2 crores to Rs. 3 crore CAPEX on a yearly basis to support some of these critical programs that we are making.

Ravi Mehta: And given this supply chain disruption getting normalized, what kind of top line you can achieve with the current balance sheet in terms of capacity as well as working capital which is already there? Where can you get to without any incremental working capital addition?

Sumukh Narendra: In terms of CAPEX, I would say we would be able to do between about Rs. 1,200 crores to Rs. 1,300 crores in revenue. In terms of working capital, we have the necessary working capital to support us for this financial year and the next financial year. We are trying to work with our customers to get advances and the advances supporting the working capital requirements. Post that we will have to explore, but that is something that we will come back on the exact numbers that we need to work on.

Amitava Majumdar: For that readiness we have sufficient unutilized non-fund based limit with the bank.

- Moderator:** Sorry to interrupt, sir, I would request you to please rejoin the queue. The next question is from the line of Yash Bajaj from Lucky Investments Manager. Please go ahead.
- Yash Bajaj:** Thanks for the follow up. My question was on what is the mix of our current order in terms of defense, medical and industrial?
- Sumukh Narendra:** The mix would be about 80% from defense, 15% to 18% from industrial and the balance would be medical.
- Yash Bajaj:** And just on the build-to-spec side of the business, I mean, any development which we have had in the current year? I believe we were looking at the medical devices side from the build-to-spec side. So, any developments over there?
- Sumukh Narendra:** Nothing substantial that has come through in this financial year on the build-to-spec side here.
- Moderator:** The next follow-up question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.
- Chetan Phalke:** Thank you for the opportunity again. Sir, out of this Rs. 1,000 crore order book, how much will be offset and how much will be Make in India orders? And what will be the margin difference? Is there any margin differential between these two orders?
- Sumukh Narendra:** Predominantly, I would say, there isn't. The offset programs have, to a large extent, completed. The order book, I would say, close to 80% of it is Make in India programs predominantly catering to the Make in India requirements for defense. We have most of the programs with respect to the offset requirements have been, we have some programs which are legacy programs but don't add a significant portion as it was earlier.
- Moderator:** Thank you. As there are no further questions from the participants, with that, we conclude today's conference call. On behalf of Vinyas Innovative Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.